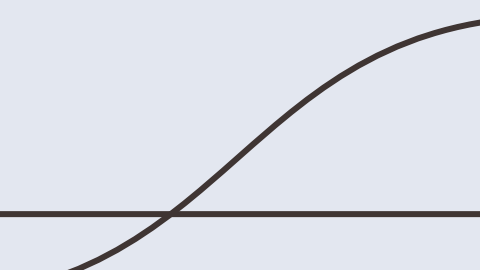


How does healthcare get paid for?

Module 1.1



Premium vs. Deductible

Premium:

Analogy: Monthly Gaming Subscription

The recurring monthly fee is paid to keep coverage active. You pay this whether you see a doctor or not.



Deductible:

Analogy: Game Pass Cover Change

The initial dollar amount paid out of pocket each year before insurance kicks in to share medical costs.

Copay, Coinsurance & Safety Cap

Copay:

A flat, fixed ticket price paid upfront for a specific visit

Coinsurance:

A percentage split paid after meeting deductible.

Out-of-Pocket Max:

The ultimate yearly limit. Once reached, insurance covers 100% of remaining covered expenses.



Who Ships the Bill?

Employer Coverage:

Provided through workplace benefits.
Bosses help split premium costs for
workers and families.



Government Coverage:

Tax-funded programs. Examples include
Medicare for seniors and Medicaid for
lower incomes.

What Is Financial Literacy ?

Financial literacy is the knowledge of budgeting, saving and investing, enabling individuals to make **informed decisions** about their personal finances.



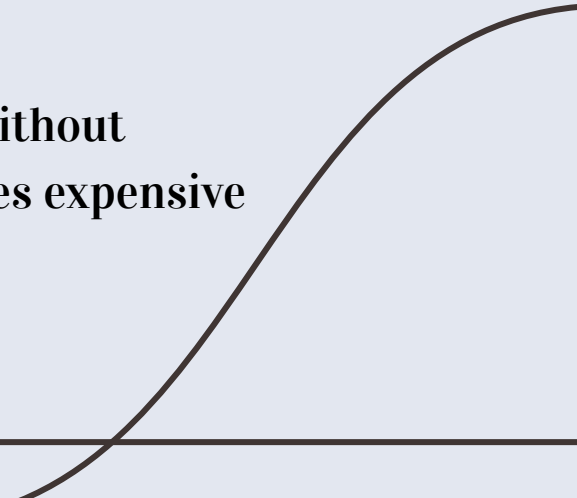
In-Network vs. Out-of-Network

In-Network Care:

Partnered doctors with pre-negotiated discount rates. Delivers the cheapest out-of-pocket costs.

Out-of-Network Care:

Non-contracted providers without discount agreements. Creates expensive surprise bills for patients.



HMO-Style vs. PPO-Style Plans

HMO Structure:

The primary care doctor manages everything. Requires official referrals for specialists; lowers overall cost.

PPO Structure:

Offers freedom to see specialists or out-of-network doctors without referrals, but at higher prices.

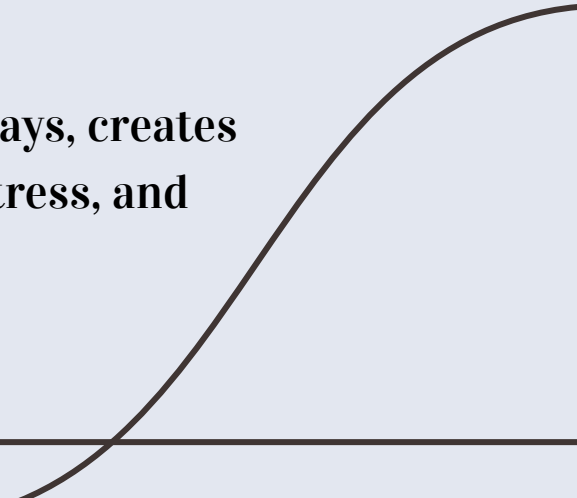
Prior Authorization Process

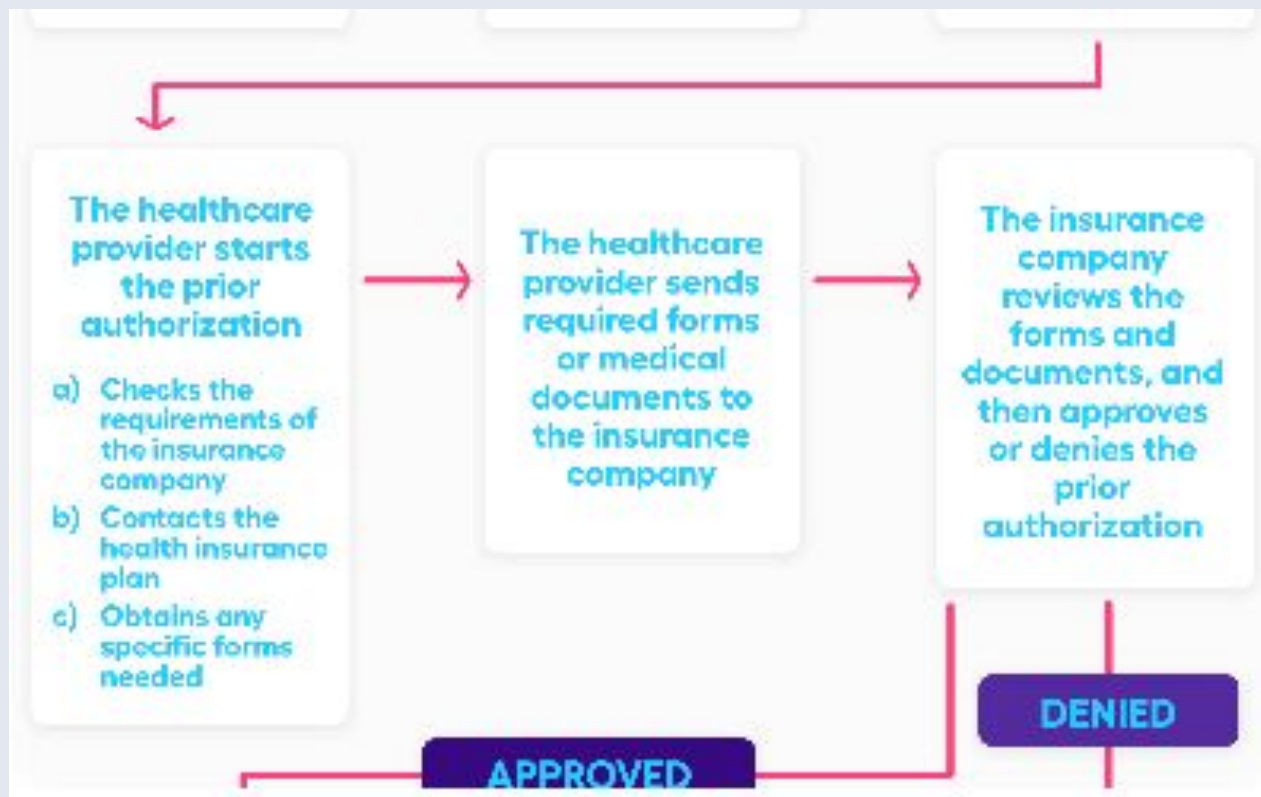
What is prior authorization?

An insurance mandate requiring doctors to get advance approval before specific tests or drugs are covered.

The Major Downside:

Causes severe treatment delays, creates administrative paperwork stress, and leads to care denials.





The Ramirez Family Journey

Ex. 1

PHASE 1

First Visit (\$400)

With a \$1,500 deductible unreached, family owes full \$400 bill out-of-pocket.

PHASE 2

Later Visit (\$400)

After hitting \$1,500 deductible, plan activates. Family pays only \$40 copay.

PHASE 3

October Max Cap

Hits \$6,000 Out-of-Pocket Max. Covered care costs 100% covered through December.

Delgado Practice Deductible Math

Ex. 2

ACCUMULATED DEDUCTIBLE

\$950

Total paid towards \$2,000 deductible limit

Previous Deductible Paid

\$600

New Doctor Visit Fee

+\$350

New Running Total

\$950

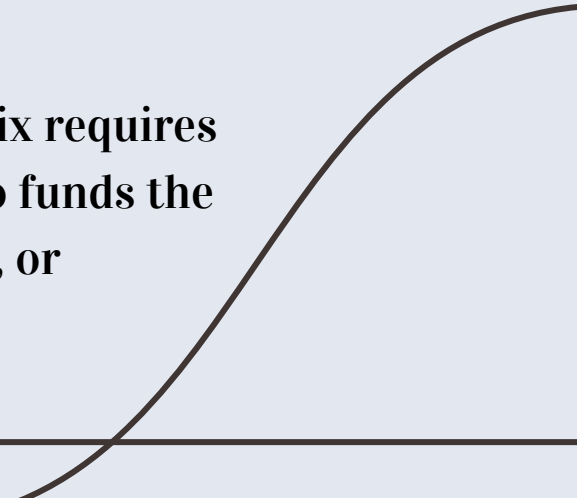
Misconceptions & Problem Solving

Avoid Generic Slogans:

Focus on specific financial mechanisms, exact numbers, deductible limits, and network rules instead of vague claims.

Name Who Pays:

Every proposed healthcare fix requires specifying who acts and who funds the change (employers, patients, or taxpayers).



Exit Ticket:

- Write 1 payment concept in your own words.
- Apply it to a real or fictional person.
- Give 1 concrete decision.
- Who pays for the acts?

